

CDSL is fully valued: a dominant depository whose margins are compressing

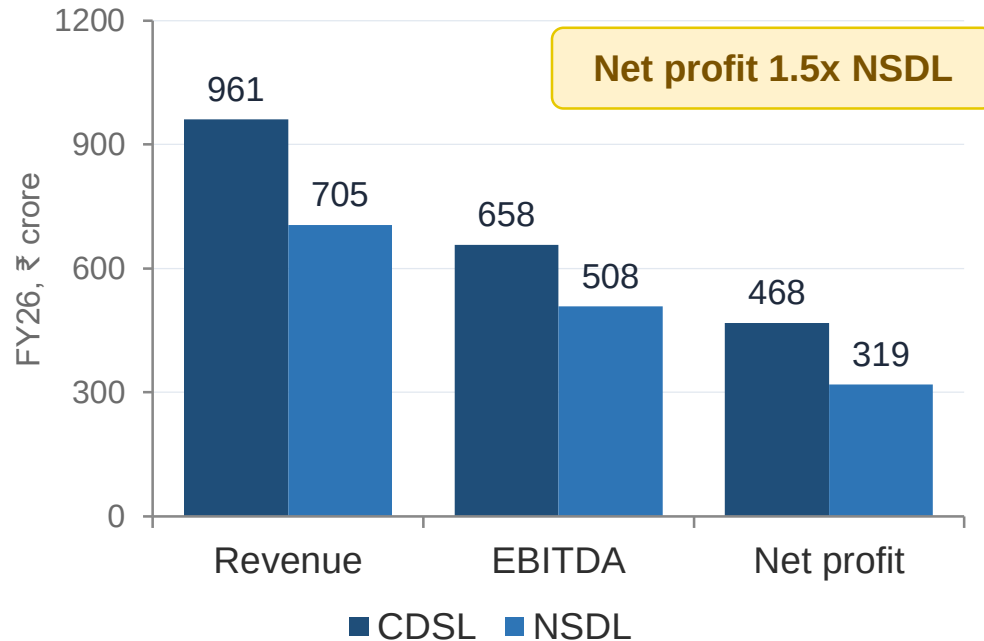
Equity research pitch: Sell, target price ₹875 (−38%)

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Academic research only, not an investment recommendation

CDSL holds about 80% of India's demat accounts and out-earns its only rival, NSDL



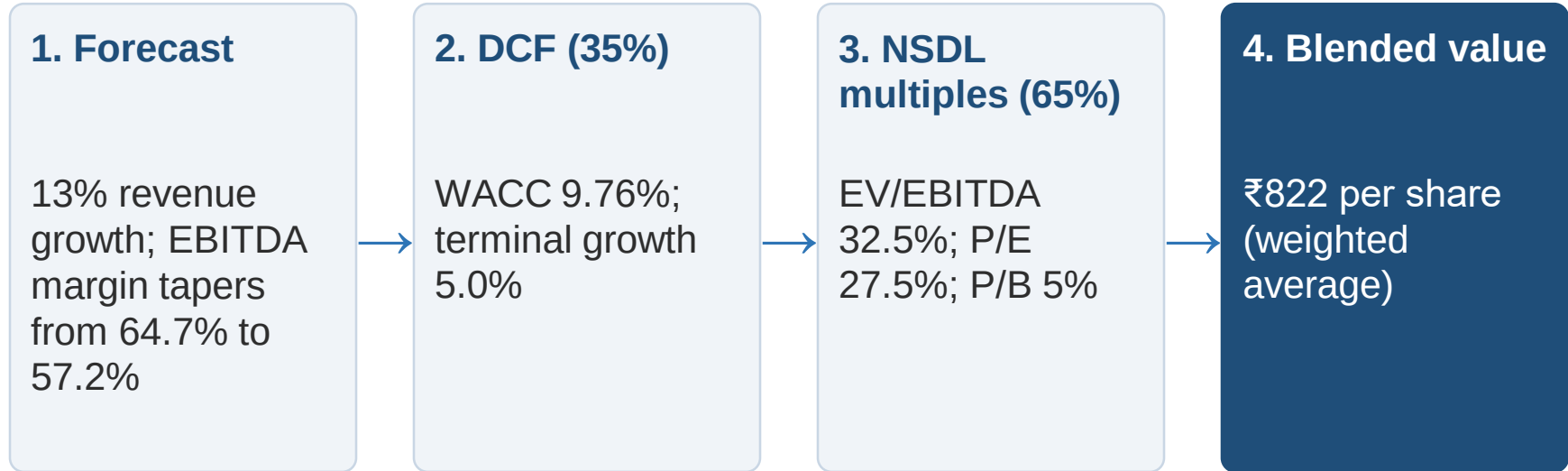
- **~80%** of demat accounts; NSDL ~20%
- **18+ crore** investor accounts
- **ROE 31%** vs NSDL 19%

The question: does a price of ₹1,414.70 reflect what CDSL can deliver?

Do CDSL's growth, margins and cash flows justify a share price of ₹1,414.70, or has the market priced in more than a base case supports?

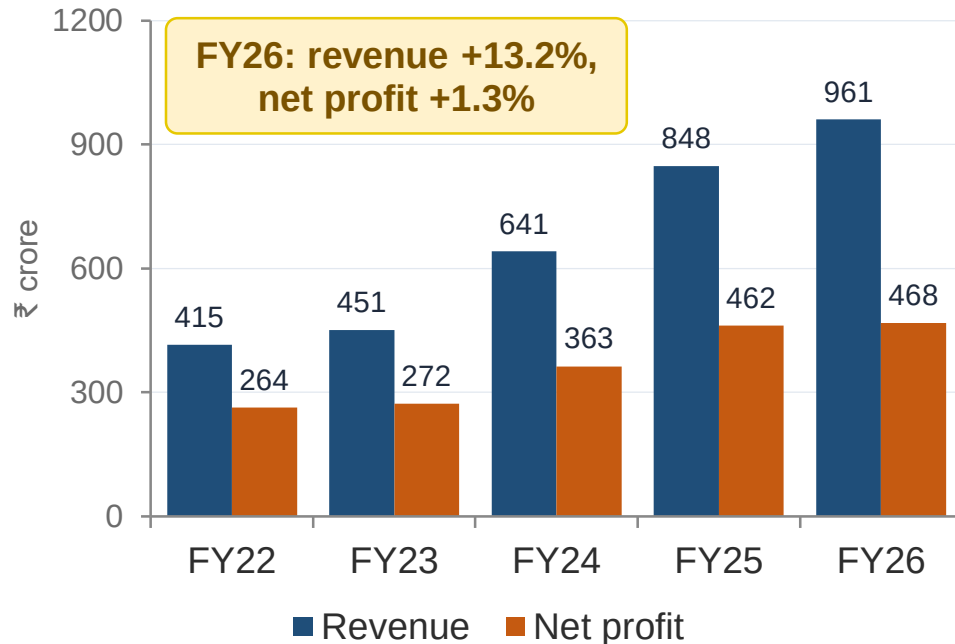
Short answer: No. Blended value is ₹822 and our target is ₹875, 38% below the market price.

A cash-flow DCF anchors the valuation, with NSDL multiples as a cross-check



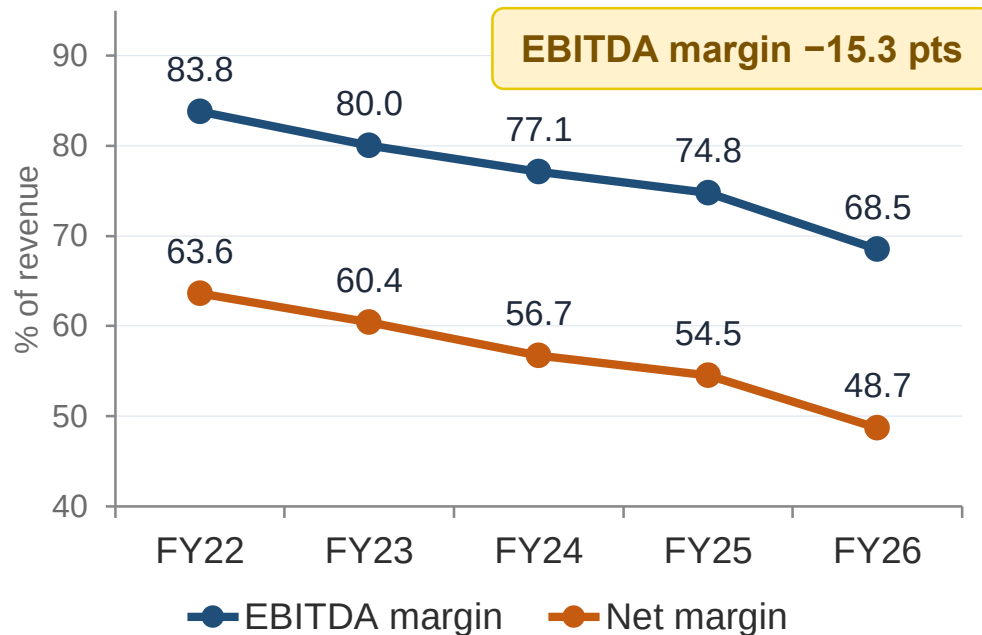
NSDL is the only other listed depository, so it is the direct peer.

Revenue has more than doubled since FY22, but FY26 profit growth stalled at 1.3%



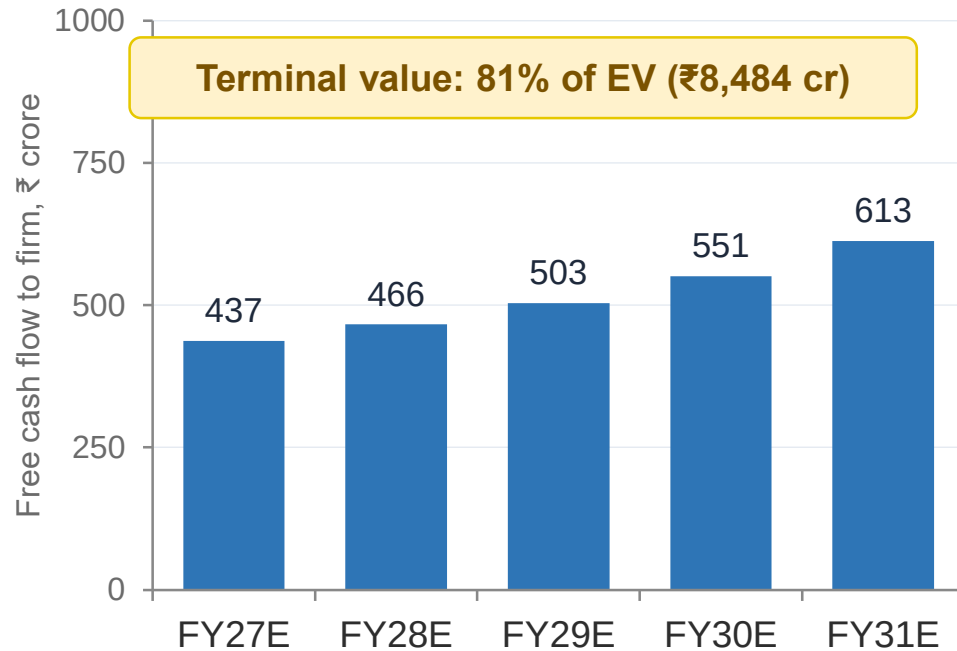
- **23.4%** revenue CAGR, FY22 to FY26
- **FY25 growth 32.3%**, FY26 13.2%
- **Profit growth** has decoupled from revenue

EBITDA margin has fallen 15 points since FY22, so profits no longer track revenue



- **EBITDA margin:** 83.8% to 68.5%
- **Net margin:** 63.6% to 48.7%
- **DCF assumes** taper to 57.2% by FY31

The base-case DCF gives ₹537 per share, and 81% of that value is terminal



- WACC 9.76%, terminal growth 5%
- EV ₹10,413 cr + net cash ₹807 cr
- Equity ₹11,220 cr ÷ 20.9 cr shares = ₹537

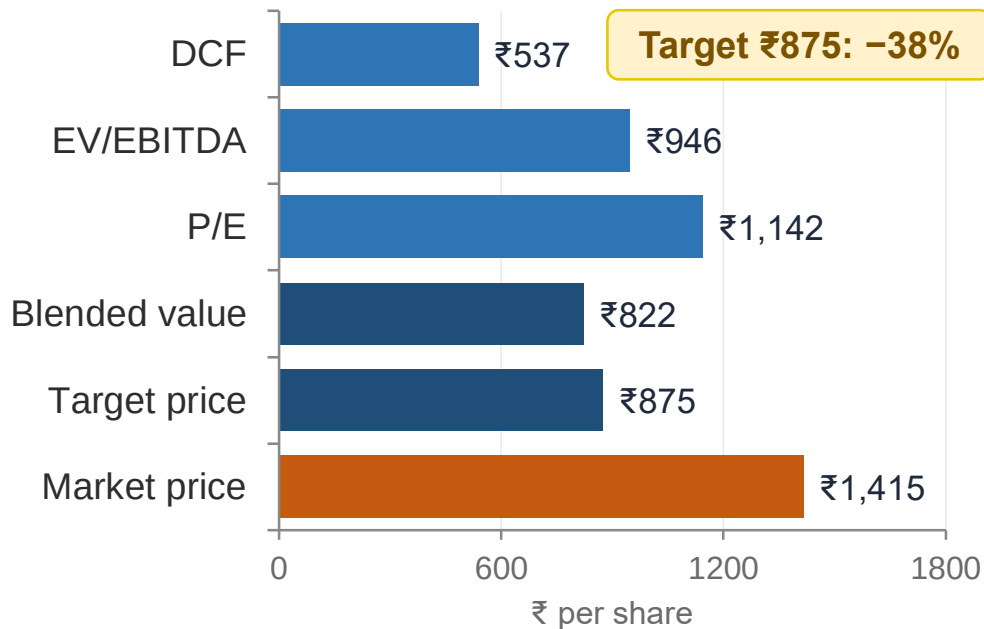
Across plausible WACC and growth assumptions, the DCF stays between ₹446 and ₹633

WACC \ g	4.0%	4.5%	5.0%
9.0%	₹529	₹575	₹633
9.5%	₹484	₹521	₹566
10.0%	₹446	₹476	₹513

- **Base case:** ₹537
(WACC 9.76%, g 5%)
- **Range:** ₹446 to ₹633
- **Market price** is outside the range

Best case ₹633 is 55% below the ₹1,414.70 price

All valuation methods sit below the market price, supporting a ₹875 target



- **Bull ₹1,150, bear ₹536**
- **P/B value ₹243, weight 5%**
- **Price date: 30 Aug 2026**

Billed-folio growth and unlisted securities are the main threats to our Sell call

Catalysts to watch

- Billed folios +46% YoY to 33.3 crore
- 7,079 unlisted companies admitted in H1 FY26
- Margin stabilisation

Limitations

- One peer (NSDL) in the cross-check
- 81% of DCF value is terminal
- Margin path is an assumption

Conclusions

- 1. The franchise is strong:** ~80% demat share, ROE 31%, no debt.
- 2. Growth and margins are fading:** EBITDA margin fell from 83.8% to 68.5%.
- 3. The price is too high:** every method is below ₹1,414.70. Sell, target ₹875 (-38%).

References

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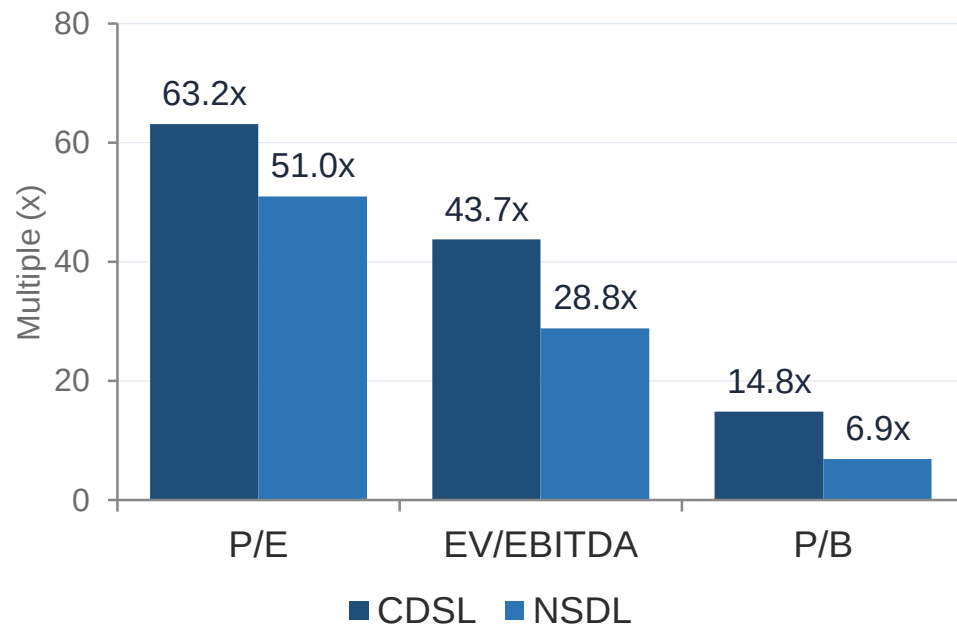
Appendix

Pre-built answers for questions

CDSL's franchise extends beyond demat accounts into KYC, insurance and e-voting

Service	What it does
Demat accounts	Hold shares, bonds and ETFs electronically
Demat and remat	Convert physical securities to electronic form and back
Settlement	Transfer and settle securities after trades
KYC (CDSL Ventures)	KYC registration for capital-market participants
Insurance repository	Hold and service insurance policies electronically
e-voting	Shareholders vote electronically on resolutions
Issuer services	Dividends, bonuses, rights issues and other corporate actions

CDSL trades at a 24% to 115% premium to NSDL on every multiple



- **Premium:** 24% P/E, 52% EV/EBITDA, 115% P/B
- **Implied price:** ₹1,142 (P/E), ₹946 (EV/EBITDA)

The DCF rests on seven explicit assumptions, each anchored in reported data

Assumption	Base case	Basis
Revenue growth, FY27E to FY31E	13.0% a year	FY26 growth 13.2%; FY22 to FY26 CAGR 23.4%
EBITDA margin	64.7% to 57.2%	Tapering decline from 68.5% in FY26
D&A / revenue	3.94%	FY22 to FY26 average
Capex / revenue	9.20%	Average excluding FY23 outlier
Tax rate	25.17%	Statutory rate in annual report
WACC	9.76%	Rf 6.91%, beta 0.39, ERP 7.31%; debt-free
Terminal growth	5.0%	Below both risk-free rate and WACC

Margin compression and excessive valuation are the highest-probability, highest-impact risks

Risk	Probability	Impact	Response
Margin compression	High	High	Monitor employee, technology and depreciation costs
Excessive valuation	High	High	Keep a margin of safety
Regulatory changes	Medium	High	Diversify revenue; monitor SEBI policy
Growth slowdown	Medium	High	Expand unlisted, KRA and insurance repositories
Competition	Medium	Medium	Sustain technology leadership against NSDL